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The real held. Inflation pricing is less reassuring.

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Brazil’s currency has kept most of its first-round rally, but inflation pricing has deteriorated. I remain flat into the runoff.

The question is no longer whether Brazil can rally on the vote. It is whether the rally reflects durable inflation and fiscal confidence, and which exposures still pay for that risk.

Rates: the nominal yield hides the disagreement

Since the first post-vote session, the two-year nominal zero rate has risen just 12 bp to 12.72%. Breakeven inflation rose 27 bp, while the real yield fell 16 bp to 6.80%. That combination weakens the case for treating the entire election rally as better inflation credibility. Breakevens also contain inflation-risk and liquidity premia; they do not identify expected inflation alone.

Two-year ANBIMA zero curve	2 Oct	5 Oct	15 Oct
Nominal yield	13.71%	12.60%	12.72%
Breakeven inflation	5.91%	5.27%	5.54%
Real yield	7.37%	6.97%	6.80%

The Focus survey dated 9 Oct puts year-end Selic at 13.25% and annual inflation at 5.22%; inflation for the following year is 4.30%. Survey medians are neither tradable forwards nor a matched two-year inflation forecast. I would reconsider receiving fixed rates if breakevens retrace and medium-term inflation expectations improve. A lower nominal yield by itself would be insufficient.

FX: carry gives little room for a wrong entry

At 5.0518, unchanged policy-rate proxies put one-month break-even USD/BRL at 5.0902: just 0.76% above spot. The calculation is S × [(1 + Selic) / (1 + Fed midpoint)]^(1/12). It compares a hypothetical BRL investment with USD cash, before costs; it is not an executable forward. The 1.33% rise in USD/BRL since the first post-vote session is already larger than that one-month cushion.

What I would do

Stay flat before 25 October. Keep the recorded thresholds: two PTAX closes below 5.10 from 26 October, with U.S. two-year yields at or below 5.00%, prompt a fresh review. They do not establish attractive value. Any paper position requires a separately dated decision.

What would change my mind

Drop the idea on a pre-entry PTAX close above 5.30. Reassess if the Brazilian two-year yield exceeds 14% or the U.S. two-year exceeds 5.10%. A fall into 4.94–5.00 is the existing review zone; it is not a reason to chase.

Independent student research · No position · Educational research, not investment advice.

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Exporters: a stronger real can offset a better Brazil story

From the pre-vote close to 14 Oct, Brent spot fell 6.6% in dollars and USD/BRL fell 3.4% on the same dates. Their product fell 9.8% in reais. This is a benchmark for gross receipts per barrel, not a forecast of a producer's realised selling price or margin. Costs, debt, product mix, basis and hedges differ by company. A positive view on Brazilian assets does not automatically imply a positive view on an exporter's cash flow.

What happens to unhedged gross revenue?

Commodity price in USD	USD/BRL −5%	USD/BRL unchanged	USD/BRL +5%
−10%	−14.5%	−10.0%	−5.5%
+0%	−5.0%	+0.0%	+5.0%
+10%	+4.5%	+10.0%	+15.5%

Each cell is (1 + commodity shock) × (1 + FX shock) − 1, at fixed volume. A five-percent fall in USD/BRL requires a 5.26% rise in the dollar selling price just to preserve reais revenue. For a dollar receivable, a hedge selling dollars reduces this conversion risk; uncertain shipment volume creates over-hedging risk. Any actual forward requires a quoted tenor, notional, basis and settlement terms. The July IMF agricultural and iron-ore series remain historical context, not current October prices.

What I need to see after the runoff

Real holds; breakevens fall; inflation survey improves. Stronger evidence of domestic credibility. Review long BRL and receiving fixed rates separately, using fresh prices and funding.

Real holds; breakevens stay elevated. Carry or positioning may be supporting FX without broad inflation confidence. Keep the rates thesis unconfirmed; an FX threshold alone is insufficient.

Real weakens; U.S. yields rise. An external-rate shock competes with the domestic story. Enforce the FX invalidation rules; do not attribute every move to the election.

Next decisions: runoff 25 October; Federal Reserve 28 October; Copom 4 November. The first post-runoff session comes before both central-bank decisions.

Review of the 6 October view

Waiting avoided election exposure, but it did not demonstrate an edge: no position was opened. The real has retained 72% of the first-day move, so the warning about a reversal has not yet become a large realised reversal. The rates evidence has become less supportive of inflation credibility. I keep the old thresholds for an honest audit and require a new decision before any paper entry. The archived event study and risk diagnostic retain their original cutoffs.

Risk check: the frozen VaR study found too many breaches under the Normal models. Historical simulation was not rejected for unconditional coverage, which does not validate its tails or make it reliable for an election jump. I use scenarios here, without assigning probabilities or claiming a tradable edge.

Dated inputs

BCB · PTAX (15 Oct) · ANBIMA · Zero curves (15 Oct) · BCB · Focus (9 Oct) · U.S. Treasury · Yields (15 Oct) · EIA / FRED · Brent spot (14 Oct) · BCB · Selic target (17 Sep) · New York Fed · Target range (14 Oct) · TSE · Election calendar (16 Oct) · Federal Reserve · Calendar (16 Oct) · BCB · Copom calendar (16 Oct)
Frozen at publication. PTAX is a reference rate, ANBIMA is a fitted zero curve and EIA is a spot benchmark. All changes above use matched dates; none is an executed return.